

Adobe Inc.

NASDAQ: ADBE | Application Software — Creative, Document & Marketing

Fundamental & Technical Equity Research | August 29, 2026

Fiscal year ends the Friday nearest 30 November | Last reported quarter: Q2 FY2026, ended 29 May 2026 | Q3 FY2026 reports 10 September 2026

Last price (28 Aug 2026)	Market cap	Enterprise value	FY26E P/E (non-GAAP)
\$291.52	\$115.9bn	\$116.9bn	11.9x
Probability-weighted target	Upside to target	Sell-side consensus	52-week range
\$317.60	+8.9%	\$270.61	\$190 - \$371

Investment thesis in four paragraphs

Adobe is the cheapest large-cap software franchise in the market, and the reason is a single decision management took on 11 June 2026. On that day the company raised its FY2026 revenue and non-GAAP EPS targets on the back of record Q2 revenue of \$6.62bn and AI-first ARR that tripled past \$500mm — and in the same breath lowered its second-half ARR growth expectations, because it had chosen to route its surging Adobe.com traffic into free Firefly, Express and Acrobat journeys rather than straight to a paywall, and to defer previously planned Creative Cloud pricing changes. The stock fell 6.2% and then 6.8% over the next two sessions on the heaviest volume of the year. Adobe was, in effect, telling investors it would trade near-term recurring revenue for monthly active users. The market did not believe the trade would pay.

The size of that trade is not disclosed, but it can be derived, and it is large. Total ending ARR was \$27.10bn exiting Q2 FY2026. The company's own FY2026 target of 10.2% ending-ARR growth implies \$27.77bn at year end — so roughly \$670mm of net-new ARR across the whole second half, against \$1,420mm of ORGANIC net-new ARR added in the first half and \$1,111mm actually added in H2 FY2025. That is an implied 40% year-over-year decline in half-yearly net-new ARR. Because Adobe recognises subscription revenue ratably, an ARR air-pocket in H2 FY2026 lands in FY2027 revenue, not this year's — which is precisely why a beat-and-raise quarter could still take the stock down 13% in two days.

What the price now embeds is more pessimistic than the debate suggests. Holding this model's FY2026E-FY2030E cash-flow path and a 10.6% CAPM discount rate fixed, and solving for the perpetual growth rate that makes a DCF equal \$291.52, gives **1.1%** — about 1.3 points below the ~2.4% long-run inflation expectation embedded in US breakevens, in perpetuity. Put differently, the market is pricing Adobe to shrink in real terms forever. That is a coherent view of what generative AI does to seat-based creative software. It is not, however, what Adobe's reported numbers show: revenue growth ACCELERATED through FY2026 (Q1 +12.0%, Q2 +12.7%), free cash flow is running near \$10.61bn a year, and the buyback is retiring roughly 7% of the share count annually. The same model at a conventional 3.0% terminal growth rate produces **\$345.80**.

Our probability-weighted target is \$317.60 (+8.9% from \$291.52), weighting Bear/Base/Bull at 30/50/20. The Bear weight deliberately exceeds the Bull weight: AI substitution of a seat-based creative franchise is a real risk that has not been falsified, two C-suite seats are open at once (Shantanu Narayen announced his CEO transition in March 2026; CFO Dan Durn left in June), and a proposed class action attacks the 'commercially safe, indemnified Firefly' claim that is Adobe's core enterprise differentiator. But at 11.9x guided FY2026 non-GAAP earnings and a

38% discount to the peer median forward multiple, the asymmetry has moved. The single question that resolves this — and the one Section 8 commits to in advance — is whether Firefly ARR grows faster than creative freemium MAU. If it does, conversion is rising and the trade is working. If it does not, Adobe is not deferring ARR, it is losing it. The first read arrives on 10 September 2026.

What this report covers

Business-model mechanics and unit economics; the industry, competitive and regulatory landscape; a quarterly financial analysis with a dedicated freemium-funnel driver model; valuation via comparable multiples, a three-scenario framework and a reverse DCF; technical analysis and positioning; a dated catalyst calendar; named risks and explicit thesis falsifiers; and a full sources-and-limitations section. It is accompanied by a live Excel model (ADBE_Financial_Model.xlsx) containing a full three-statement build that ties to Adobe's reported FY2024 and FY2025 figures line by line, and whose balance sheet ties to zero in every period.

IMPORTANT: This document was produced by an AI research assistant from public SEC filings, Adobe's investor-relations disclosures, and secondary market-data sources, all as of the report date. It is not built on a live market-data terminal, has not been reviewed by a licensed analyst, and every figure that varied across sources is flagged in Section 9. This is not investment, legal, or tax advice and is not a recommendation to buy, hold, or sell any security. Verify anything decision-critical against primary sources before acting.

1. BUSINESS MODEL MECHANICS

Adobe sells recurring subscriptions to software that creates, manages and measures digital content. In FY2025 that produced \$23.77bn of revenue, of which \$22.80bn — 96% — was subscription. Perpetual product licences (\$0.35bn) and professional services (\$0.62bn) are rounding errors. This is as close to a pure subscription business as a company of this size gets, and it is the reason the ARR figure discussed throughout this report, rather than revenue, is the metric that actually moves the stock.

How the money is made, in three motions

1. Creative & Marketing Professionals (\$16.30bn in FY2025, 71% of subscription revenue; \$4.54bn in Q2 FY2026, +13% YoY). Creative Cloud sold as a per-seat annual subscription to designers, video editors, photographers and the agencies and enterprises that employ them, plus the Digital Experience stack — Adobe Experience Platform, Experience Manager and GenStudio — sold to marketing organisations as enterprise contracts. The unit economics are seat count multiplied by price per seat, and the moat has historically been file formats, muscle memory and integration rather than any single feature.

2. Business Professionals & Consumers (\$6.50bn in FY2025, +15%; \$1.85bn in Q2 FY2026, +16% YoY). Acrobat and Express, sold cheaply to a very large number of people. This is the faster-growing half and the one Adobe has been widening: Acrobat plus Express monthly active users surpassed 850 million in Q2 FY2026, up roughly 20% year over year, built on the free Adobe Reader distribution model that has run for thirty years. Acrobat AI Assistant ARR roughly tripled year over year and its paid MAU grew over 150%.

3. The new motion: consumption. Generative credits, Firefly credit packs and Firefly Enterprise are billed on usage rather than seats. Firefly ending ARR was approaching \$300mm exiting Q2 FY2026 and grew roughly 50% quarter over quarter. Total AI-first ARR passed \$500mm, tripling year over year — about 1.8% of the \$27.10bn total. Small, but it is the only line growing at that rate, and it is the one the entire valuation debate is about.

The cost relationship that matters most

For a seat-licence business, the marginal cost of another subscriber is close to zero, which is how Adobe sustained an 89% gross margin. Generative AI breaks that. Every image, video or agentic action a user generates consumes inference compute that Adobe pays for. The evidence is already in the filings: in Q2 FY2026, subscription cost of revenue grew **16.0%** year over year (\$586mm against \$505mm) while subscription revenue grew **13.7%** (\$6,416mm against \$5,641mm). One quarter is not a trend, but the direction is exactly what the mechanism predicts — and Adobe is now deliberately pushing free generation to a base of 90 million creative freemium users. The model in the accompanying workbook fades gross margin from 89.0% in FY2026E to 87.9% in FY2030E for this reason; it is the single most consequential non-obvious assumption in the build.

Adobe is also strikingly asset-light about this: FY2025 capital expenditure was \$179mm on \$23.77bn of revenue, or 0.75%. It rents AI compute rather than building it, so the cost appears in gross margin rather than in capex and depreciation. A decision to bring model training in-house would move billions from the cash-flow statement's investing section and break that assumption — worth watching, and flagged as such in the model.

Capital structure and capital allocation

At 29 May 2026 Adobe held \$5,626mm of cash and short-term investments against \$6,645mm of debt (\$1,843mm current, \$4,802mm long-term), leaving roughly 1.0bn of NET DEBT — a change from the modest net cash position it carried at FY2025 year end, caused by paying \$1.87bn in cash for Semrush in April 2026. Leverage is trivial against \$116bn of market capitalisation and roughly \$10.6bn of annual free cash flow. The company pays no dividend and returns essentially everything through buybacks: \$11.28bn in FY2025 (30.8 million shares, more than 100% of that year's free cash flow), \$4.59bn in the first half of FY2026. Approximately \$27bn remained under authorisation exiting Q2 FY2026, including a new \$25bn authorised in April 2026 — about 23% of the current market capitalisation. Share count has fallen from 441 million at FY2024 year end to 399 million at 29 May 2026 and 397.5 million as most recently reported (28 Aug 2026) — the figure used for market capitalisation and every per-share output in this report and the accompanying model.

This matters for how you read the earnings growth. In the accompanying model, GAAP EPS rises from \$16.70 in FY2025 to \$38.32 in FY2030E — but roughly a third of that is the share count falling from 427 million to 266 million, not operating growth. A buyback is a redistribution, not value creation: it flatters per-share figures without changing enterprise value, which is why the DCF in Section 5 values the enterprise and divides by TODAY'S share count rather than a shrunken future one.

2. INDUSTRY, COMPETITIVE & REGULATORY LANDSCAPE

Market sizing — handled with deliberate caution

Third-party creative-software market estimates found during this research ranged from roughly \$16.8bn for 2026 (growing at an 8.4% CAGR to 2030) to figures several times larger, depending entirely on whether the definition includes marketing technology, document workflow and consumer tools. One vendor report put Adobe's share of content-creation tools at approximately 58%. These are incompatible definitions from commercial research vendors and this report uses none of them for any valuation conclusion — a company with \$23.77bn of revenue cannot hold 58% of a \$16.8bn market, which is itself the clearest demonstration that the scopes do not reconcile. What can be said without a vendor report is that Adobe's revenue is roughly 3x Autodesk's and 3.7x its nearest pure creative-tools competitor by disclosed ARR, and that it is the incumbent in professional creative tooling by a wide margin.

The competitive picture, separating live threats from speculative ones

Live and quantifiable:

- **Canva** — reported to have reached roughly \$4bn of ARR and widely reported to be heading toward an IPO. It bought Affinity in 2024 to move upmarket into professional design, and its Magic Studio increasingly overlaps Adobe's enterprise offering. This is the most concrete competitive fact in the sector: a privately-held rival with ARR equal to roughly 15% of Adobe's total, built from the low end upward.
- **Figma** — took product design and UI/UX collaboration decisively. Adobe agreed to buy it for \$20bn, was blocked, and paid a \$1,000mm termination fee that sits in Adobe's own FY2024 income statement. That fee is the single most expensive piece of evidence available that Adobe management considered this an existential adjacency it could not build.
- **OpenAI and Google** — Sora for video, Nano Banana for lightweight mobile image editing, both improving fast and both effectively free at the margin. Notably, Adobe's response has been to EMBED third-party models inside Firefly — Runway, Flux, Nano Banana and Kling 3.0 are all now available in Adobe apps. That is a defensible aggregation strategy and it also concedes that the model layer is not where Adobe's moat is.

Real but not yet quantifiable:

- **The substitution question.** The bear case is not that a rival wins the creative-tools market; it is that generative AI shrinks the number of people who need professional creative tools at all. If a marketing team that ran six designers on Creative Cloud runs two plus an agent, Adobe loses four seats regardless of how good Photoshop is. No public data yet settles this. Adobe's own seat-based ARR growth is the observable proxy, which is exactly why the H2 FY2026 ARR deceleration is being read so severely.
- **Adobe's counter-position.** Enterprise wins disclosed in Q2 FY2026 included Merck, SAP, ServiceNow, Tesco, Coca-Cola, Workday and Xfinity; enterprise customers with over \$10mm of ARR grew more than 20% year over year; over 80% of Experience Platform and Experience Manager customers now use the agentic features. The Adobe Creative Agent is available inside Claude and ChatGPT, with Copilot and Gemini stated as coming. Adobe is trying to be the execution layer other people's agents call, which is a genuinely different bet from defending the application.

Regulatory — what actually changed in the last year

- **ROSCA / subscription-cancellation settlement, approved March 2026.** Adobe agreed to a **\$150mm** settlement of DOJ/FTC claims under the Restore Online Shoppers' Confidence Act over hard-to-cancel subscriptions and undisclosed early-termination fees — \$75mm in free services to affected customers and \$75mm paid to the DOJ. (Several outlets reported this as a '\$75 million' settlement; both figures are in circulation and describe different halves of the same total.) The injunctive terms matter more than the money: Adobe must clearly disclose

early-termination fees before enrolment, remind customers before converting trials longer than seven days, and provide easy cancellation. That is a structural, permanent constraint on the friction that supported Creative Cloud retention.

- **AI copyright litigation, filed December 2025 and continuing.** A proposed class action alleges Adobe trained its SlimLM small language models on copyrighted books obtained from pirate shadow libraries. Separately, shareholder derivative suits allege misleading disclosure about AI training methods. The financial exposure is not the point — the point is that 'commercially safe, indemnified, ethically trained Firefly' is the specific claim Adobe uses to win enterprise business against free alternatives, and this litigation attacks it at the root.
- **EU AI Act, full enforcement from 2 August 2026.** Transparency obligations now require AI systems to disclose that content was AI-generated or altered, with machine-readable provenance marking at the point of generation. Adobe's Content Credentials work makes this closer to a competitive advantage than a compliance cost — it is one of the few areas where regulation plausibly favours the incumbent.

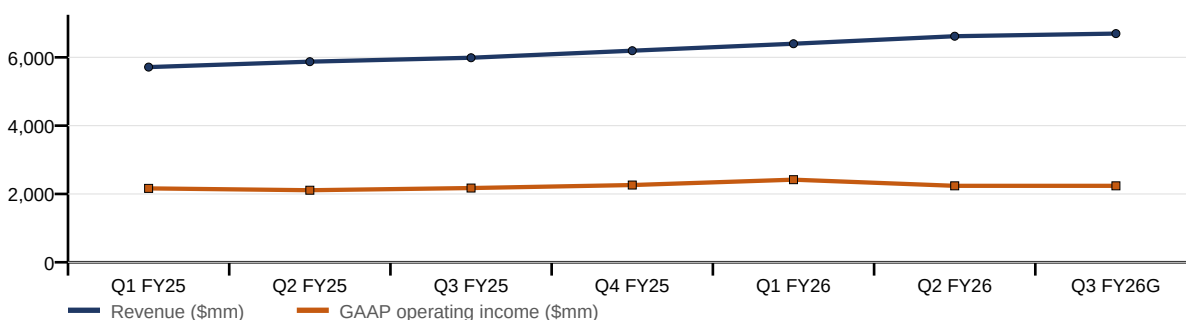
3. FINANCIAL ANALYSIS

Quarterly trend — where the story actually is

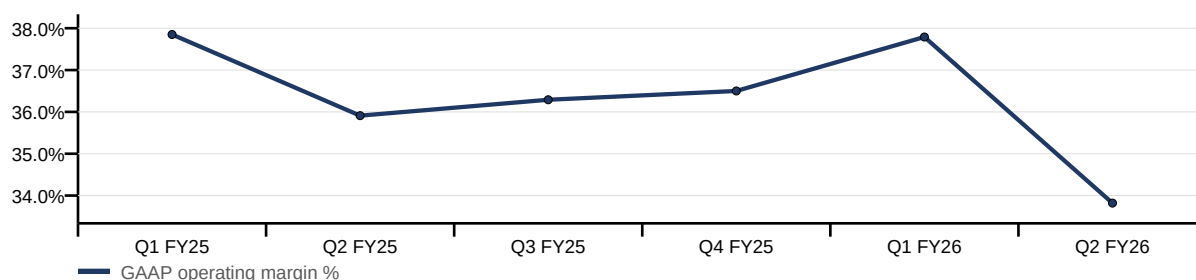
\$mm unless stated	Q1 FY25	Q2 FY25	Q3 FY25	Q4 FY25	Q1 FY26	Q2 FY26	Q3 FY26G
Total revenue (\$mm)	5,714	5,873	5,988	6,194	6,398	6,618	6,695
Revenue growth YoY	n/a	n/a	n/a	n/a	+12.0%	+12.7%	+11.8%
Gross margin	89.1%	89.1%	89.3%	89.5%	89.6%	89.2%	n/a
GAAP operating income (\$mm)	2,163	2,109	2,173	2,261	2,418	2,238	n/a
GAAP operating margin	37.9%	35.9%	36.3%	36.5%	37.8%	33.8%	n/a
GAAP diluted EPS	\$4.14	\$3.94	\$4.18	\$4.45	\$4.60	\$4.25	\$4.42
Non-GAAP diluted EPS	n/a	n/a	\$5.31	\$5.50	\$6.06	\$5.96	\$6.08
Cash from operations (\$mm)	2,482	2,191	2,198	3,160	2,958	2,165	n/a
Share repurchases (\$mm)	3,250	3,500	2,057	2,474	2,478	2,111	n/a
Shares outstanding, end (mm)	435.0	427.0	420.0	413.0	406.0	399.0	n/a

Sources: 10-Q income statements (SEC EDGAR XBRL) and Adobe 8-K Ex-99.1 earnings releases. Q4 FY25 is DERIVED (FY2025 10-K less the three 10-Qs); the derived revenue of \$6,194mm ties to the \$6.19bn reported in the Q4 FY25 release and derived operating income of \$2,261mm ties to the reported \$2.26bn. Q1/Q2 FY25 non-GAAP EPS are shown as n/a rather than estimated — Adobe's Q4 FY25 release reconciles only Q3, Q4 and the full year. Q3 FY26 is company guidance (midpoints), not an actual.

Quarterly revenue and GAAP operating income (\$mm) — Q3 FY26 is guidance



GAAP operating margin broke lower in Q2 FY26, while gross margin held near 89% (%)



Read the two charts together. Revenue growth accelerated through FY2026 while GAAP operating margin fell 4.0 points sequentially in Q2 FY2026, from 37.8% to 33.8%. Gross margin held (89.6% to 89.2%), so this is not a cost-of-delivery story — it is operating expense. Sales and marketing rose to \$1,884mm (+16% YoY) and general and

administrative to \$546mm (+45% YoY), and the quarter carried a \$70mm non-cash goodwill impairment on the Publishing & Advertising unit (\$0.17 per share). The freemium land-grab and the Semrush integration are being paid for out of the operating line, in real time.

Guidance — and the part of the raise that was not a raise

Metric	Initial FY26 guide (10 Dec 2025)	Raised FY26 guide (11 Jun 2026)	Change
Total revenue	\$25.90 - 26.10bn	\$26.50 - 26.60bn	+\$0.55bn at the midpoint
Non-GAAP diluted EPS	\$23.30 - 23.50	\$24.35 - 24.45	+\$1.00 at the midpoint
GAAP diluted EPS	\$17.90 - 18.10	\$17.90 - 18.00	midpoint UNCHANGED; high end \$0.10 lower
Non-GAAP operating margin	~45.0%	~45.0%	unchanged
GAAP operating margin	36.0%	not restated	-
Total ending ARR growth	'over 10%'	10.2%	narrowed, and H2 expectations lowered
Diluted share count	~403mm	~399mm	-4mm (faster buyback)

This table is doing real work. Adobe raised FY2026 revenue by roughly \$0.55bn and non-GAAP EPS by \$1.00 — but GAAP EPS guidance did not move at the midpoint and its upper bound came DOWN by ten cents. The entire raise therefore sits below the GAAP line: in stock-based compensation, in intangible amortisation from Semrush, and in a lower share count. Roughly half the revenue raise is Semrush's ~\$480mm of acquired ARR consolidating for part of the year rather than organic outperformance. None of this makes the quarter bad — but a reader who took 'raises revenue and EPS targets' at face value would have missed why the stock fell 13% in two sessions.

The driver model: ARR, and what management traded away

Adobe's valuation turns on one number — total ending annualised recurring revenue growth — and the single most important figure about it is not disclosed. It has to be derived, and the derivation is shown here in full so it can be checked.

ARR bridge (\$mm)	Value	Where it comes from
Total ending ARR, FY2025 exit	25,200	Q4 FY25 release: \$25.20bn, +11.5% YoY
Total ending ARR, Q1 FY26 exit	26,060	Q1 FY26 release
Total ending ARR, Q2 FY26 exit	27,100	Q2 FY26 release: \$27.10bn, +12.5% YoY, incl. ~\$480mm Semrush
H1 FY26 net-new ARR	1,900	Derived: \$27,100mm less \$25,200mm
less Semrush (inorganic)	(480)	Disclosed on the Q2 FY26 call
H1 FY26 ORGANIC net-new ARR	1,420	Derived
FY2026 target ending ARR	27,770	Company target of 10.2% ending-ARR growth applied to FY25 exit
Implied H2 FY26 net-new ARR	670	DERIVED — Adobe did not state a half-year figure
Total ARR at Q2 FY25 exit	24,089	DERIVED from the disclosed Q2 FY26 exit ARR and its +12.5% YoY growth
H2 FY25 actual net-new ARR	1,111	Derived: \$25,200mm less \$24,089mm
H2 FY26 implied vs H2 FY25	-39.7%	The number the market reacted to

Adobe added roughly \$1,420mm of organic ARR in the first half of FY2026 and then guided to roughly \$670mm across the whole of the second half — against \$1,111mm actually added in H2 FY2025. That is an implied 40% year-over-year decline, disclosed on the same day as a revenue and non-GAAP EPS raise. Roughly \$441mm of annualised recurring revenue is being given up. Management's explanation is explicit and, to its credit, unhedged: 'This shift will come at the cost of short term ARR, but will accelerate user acquisition and MAU while building the foundation for long-term growth.' The question is only whether the users arrive and pay.

The freemium funnel: MAU x conversion x ARPU

Adobe discloses the top of this funnel generously and the bottom of it not at all. It publishes monthly active users and it publishes Firefly ARR. It does not publish a conversion rate or a freemium ARPU. So the conversion rate has to be backed out — and once it is, the arithmetic of the whole strategy becomes legible.

Funnel input	Value	Status
Creative freemium MAU (Firefly, Express, Premiere, Photoshop, Lightroom web/mobile)	90mm, +>70% YoY	DISCLOSED (Q2 FY26 remarks)
Business Professionals & Consumers MAU (Acrobat + Express)	850mm, +~20% YoY	DISCLOSED
Adobe.com traffic growth	+40% YoY (C&CP +50%, BP&C +35%)	DISCLOSED
Firefly ending ARR	approaching \$300mm, +~50% QoQ	DISCLOSED
Total AI-first ARR	>\$500mm, 3x YoY (~1.8% of total ARR)	DISCLOSED
Blended annual ARPU of a converted freemium user	\$120/yr	MODEL ASSUMPTION — not disclosed
Implied paying creative-freemium users	2.5mm	DERIVED (\$300mm / \$120)
Implied paid conversion rate on the 90mm base	2.78%	DERIVED
Conversion needed on today's 90mm base to replace the deferred ARR	4.08%	DERIVED

The bar is lower than the drama suggests, and the lever is not the one being marketed. On a \$120 blended ARPU, Adobe is converting roughly 2.8% of its creative freemium base today, and would need roughly 4.1% on the SAME 90 million users to replace the ~\$441mm of ARR it is deferring — a 1.3-point improvement, not a doubling of the funnel. But note what that implies: the sensitivity in the accompanying workbook runs far more steeply across conversion than down MAU. Adobe could triple the funnel to 240 million users and still add less ARR than by lifting conversion from ~2.8% to ~5.6% on the base it already has. 'MAU grew from 50 million to 90 million' is therefore not, on its own, evidence that the strategy is working — and the ARPU assumption is doing enough work here that a reader should treat this whole block as a framework rather than a finding.

Balance sheet and cash generation

Balance sheet at 29 May 2026 (\$mm)	Value	Selected income & cash-flow, FY2025A	Value
Cash & equivalents	4,919	Revenue	23,769
Short-term investments	707	GAAP operating income	8,706
Goodwill	14,041	GAAP net income	7,130
Total assets	29,933	GAAP diluted EPS	\$16.70
Deferred revenue (current)	7,152	Non-GAAP diluted EPS	\$20.94
Debt (current + long-term)	6,645	Cash from operations	10,031
Total liabilities	18,415	Capital expenditures	179
Stockholders' equity	11,518	Share repurchases	11,281
Net cash / (net debt)	(1,019)	Remaining performance obligations	22,270 (Q2 FY26)

Two things stand out. First, deferred revenue of \$7.15bn is the largest single working-capital source of cash in the business — customers pay Adobe a year ahead. That is a structural tailwind that the shift toward consumption and credit-pack pricing quietly erodes, because usage-based revenue is recognised on use rather than billed in advance; the accompanying model fades deferred revenue from 29.05% of sales to 28.0% over the forecast for exactly this reason. Second, remaining performance obligations of \$22.27bn grew 13% year over year with current RPO at 67% of the total — a genuinely reassuring number that sits awkwardly alongside the ARR guidance cut, and one bulls should lean on.

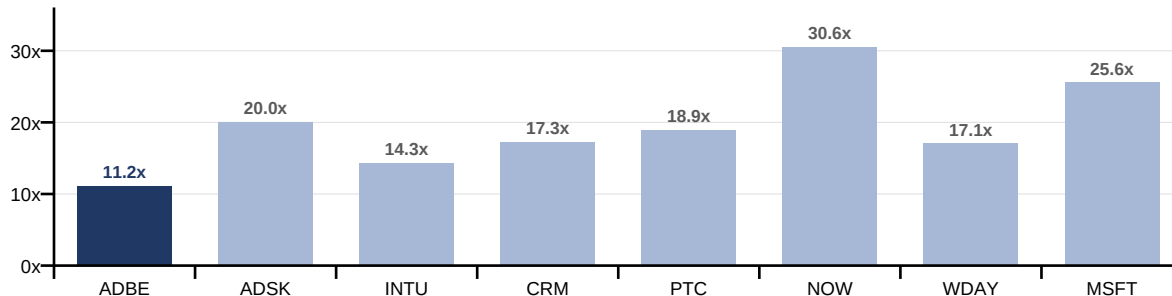
4. VALUATION

Comparable multiples — all observed the same day

Company	Ticker	Mkt cap (\$bn)	Trailing P/E	Forward P/E	EV/Sales	EV/EBITDA	Op. margin	Comp status
Adobe	ADBE	115.9	16.5x	11.2x	4.66x	12.1x	36.6%	Subject
Autodesk	ADSK	55.0	33.8x	20.0x	6.88x	23.4x	28.1%	True comp
Intuit	INTU	97.9	21.1x	14.3x	4.56x	14.3x	28.8%	True comp
Salesforce	CRM	210.7	23.4x	17.3x	5.52x	18.8x	21.5%	True comp
PTC	PTC	17.1	15.4x	18.9x	6.20x	14.3x	39.8%	True comp
ServiceNow	NOW	149.6	86.5x	30.6x	10.28x	52.3x	12.4%	True comp
Workday	WDAY	49.3	42.2x	17.1x	4.90x	31.4x	12.0%	True comp
Microsoft	MSFT	3,810.0	28.1x	25.6x	11.69x	20.0x	46.8%	Reference only

All multiples from stockanalysis.com, read 28 August 2026 — deliberately one source, so the peer set is internally consistent. Peer median excluding Adobe and Microsoft: forward P/E 18.1x, EV/EBITDA 21.1x. Adobe trades at a **38% discount** on forward P/E and **43%** on EV/EBITDA. Cross-check: rebuilding Adobe's own multiples independently from SEC filings gives EV/TTM sales of 4.64x against the vendor's 4.66x, and EV/TTM EBITDA of 11.8x against 12.08x — agreement inside ~2%, which is the level of validation a comps table should carry and usually does not.

Forward P/E — Adobe (navy) vs peers, all 28 Aug 2026



Which of these are real comps. Autodesk and PTC are the closest structural analogues: subscription design software with a professional installed base facing the identical generative-AI question. Intuit is the best comparison for the freemium-to-paid funnel Adobe is now attempting — and its own 46% twelve-month decline shows the market applying the same AI-disruption discount elsewhere, which is important context. Salesforce, ServiceNow and Workday are enterprise-workflow businesses relevant to Adobe's Digital Experience half but not to Creative Cloud. Microsoft is reference only: 33x Adobe's size and on the other side of the AI trade. One methodological caution — ServiceNow's and Workday's EV/EBITDA are inflated by heavy stock-based compensation running through GAAP EBITDA. Adobe expenses \$1.9bn of SBC too, but as a far smaller share of EBITDA, so a naive EV/EBITDA comparison flatters the high-SBC names and overstates Adobe's apparent cheapness on that metric specifically.

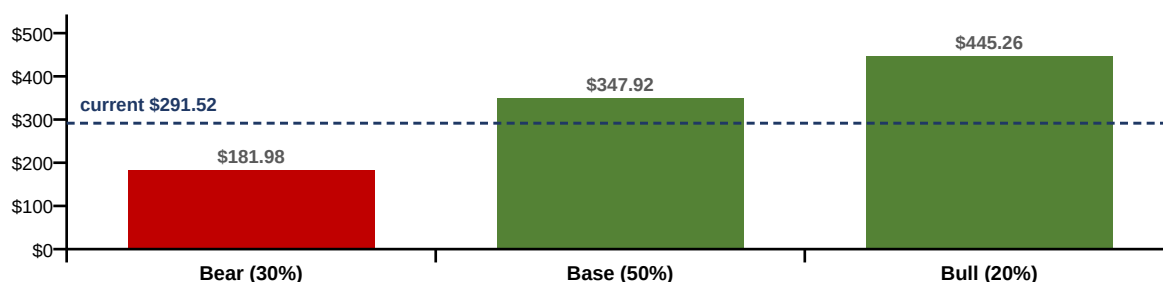
Applying the 18.1x peer median forward multiple to Adobe's guided FY2026 non-GAAP EPS of \$24.40 gives **\$441.64** (+51%). Treat that as a measure of the size of the discount, not as a target: it assumes Adobe should trade like a group whose median member is growing more slowly and earning lower margins, and it explains nothing about why the discount exists.

Scenario framework — this is a real DCF, not a sanity check

Each scenario is anchored on FY2026E, which is effectively locked by company guidance plus three quarters of actuals, and differs only in the FY2026E-FY2030E path. Each is valued two ways — a discounted cash flow and an exit multiple on FY2030E EBITDA — with the **Base-case exit multiple calibrated to the DCF's own implied terminal multiple**, so the two methods cannot diverge merely because someone picked a round number. All three divide by today's share count, because a buyback redistributes value rather than creating it.

Driver / output	Bear (30%)	Base (50%)	Bull (20%)
FY26E-FY30E revenue CAGR	3.5%	8.2%	10.5%
FY2030E revenue (\$bn)	30.5	36.5	41.0
FY2030E GAAP operating margin	29.0%	37.3%	39.5%
FY2030E EBITDA (\$bn)	9.3	14.1	17.4
WACC	11.5%	10.6%	10.2%
Terminal growth	0.5%	3.0%	3.25%
Exit EV/EBITDA multiple	8.0x	11.2x (calibrated)	13.5x
Method 1 — DCF price	\$175.56	\$349.76	\$434.06
Method 2 — exit-multiple price	\$188.40	\$346.08	\$456.46
Blended target	\$181.98	\$347.92	\$445.26
Upside / (downside)	-38%	+19%	+53%

Blended scenario targets vs. the 28 Aug 2026 close



Probability-weighted target: \$317.60, or +8.9% from \$291.52. The Bear weight (30%) exceeds the Bull weight (20%) on purpose. The Bear case is not a stress test — it is a coherent thesis in which the H2 FY2026 ARR deceleration is structural rather than strategic, seat counts decline as AI substitutes for junior creative labour, and inference cost plus permanently elevated customer-acquisition spend hold operating margin near 29%. Nothing in Adobe's reported numbers has falsified it, and nothing has confirmed it either.

Reverse DCF — what is the current price actually assuming?

Arguing about whether a stock is cheap is less useful than measuring what its price already assumes. Holding this model's FY2026E-FY2030E cash-flow path and its CAPM discount rate fixed, and solving in closed form for the perpetual growth rate that sets the DCF equal to the market price, gives a single number that the whole disagreement reduces to.

Reverse DCF	Value	Interpretation
WACC (CAPM: 4.67% risk-free + 1.40 beta x 4.5% ERP)	10.56%	Debt is ~5% of capital, so WACC is effectively the cost of equity
Enterprise value implied by the market	\$116.9bn	Market cap + debt - cash, at the 28 Aug 2026 close
PV of explicit FY26E-FY30E cash flows	\$38.3bn	From the three-statement model
Implied perpetual growth rate in the price	1.10%	~1.3 points BELOW ~2.4% long-run inflation — real terminal decline
Implied terminal EV/EBITDA in the price	8.8x	vs. the DCF-implied terminal multiple of 11.2x
Base DCF at 3.0% terminal growth	\$345.80	+19% vs. the current price
Terminal value as % of enterprise value	72%	Below the ~85% level at which a DCF stops being informative

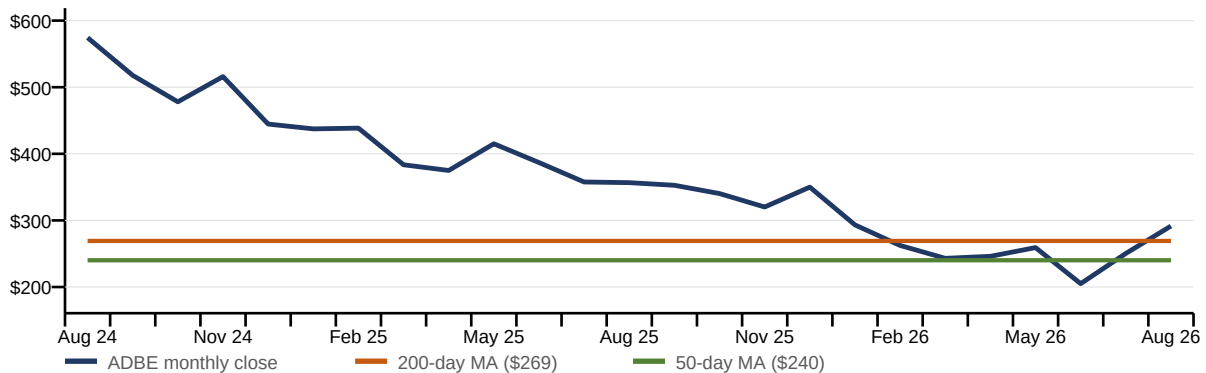
This is the report's central finding. At \$291.52 the market is pricing Adobe to grow at 1.1% in perpetuity after FY2030 — roughly 1.3 points of real decline a year, forever. That is not an absurd view: it is a precise, internally consistent statement that generative AI structurally erodes seat-based creative software, and that Adobe's own H2 FY2026 ARR guidance is the first evidence of it. But it should be recognised for what it is. It is not a valuation that requires Adobe to disappoint; it is one that requires Adobe to decline. The gap between 1.1% and a conventional 3.0% is the AI-disruption discount. At the Base terminal growth rate it is worth roughly \$54 per share, about 19% of the current price.

Sell-side positioning — and a signal worth noting

Forty analysts polled by S&P Global (as of 19 August 2026) rate Adobe a consensus **Hold**, with a mean target of \$270.61 and a **median of \$250.00**, in a range of \$190 to \$380. Two observations. First, the spread — the high target is exactly double the low — is itself the signal: this is a maximally contested name, not a consensus one, and a 2x dispersion across forty professional analysts is unusual for a \$116bn company with guided revenue. Second, and more unusual still: the stock closed at \$291.52 on 28 August 2026, **above the mean target and 17% above the median**. The sell side has not caught up to a 50% rally off the June low. Street estimates put FY2026 revenue at \$26.53bn and non-GAAP EPS at \$24.41 (both effectively equal to company guidance), and FY2027 at \$28.92bn and \$27.49 — the model in this report uses \$28.94bn for FY2027, within 0.1%.

5. TECHNICAL ANALYSIS

ADBE monthly close, Aug 2024 - Aug 2026, vs. current moving averages (\$)



Moving averages, RSI, realised volatility and relative performance below were computed directly from the Yahoo Finance daily close series (two years to 28 August 2026), NOT copied from a chart site — several chart sites disagreed materially with each other on Adobe's moving averages during this research (one gave a 50-day of \$242.4 and a 200-day of \$274.9; another an SMA50 of \$230.37). The recomputed values agree exactly with stockanalysis.com's same-day figures. The moving-average lines are drawn flat because they are current levels, not a historical MA series.

Trend & momentum	Value	Volatility, positioning & ownership	Value
Last price (28 Aug 2026, 20:00 UTC)	\$291.52	Realised volatility, 30-day annualised	51%
20-day moving average	\$268.25	Realised volatility, 90-day annualised	49%
50-day moving average	\$240.18	Realised volatility, 1-year annualised	40%
100-day moving average	\$241.36	30-day implied volatility (approx.)	~49% (Jul 2026, STALE)
200-day moving average	\$269.18	Put/call ratio	0.54 vs 0.62 norm (Jul 2026, STALE)
Price vs. 50-day MA	+21.4%	Short interest	17.97mm sh / 4.54% of float
Price vs. 200-day MA	+8.3%	vs. January 2026	12.37mm sh / 2.96%
RSI (14-day, Wilder)	60.8	Institutional ownership	90.2% (13 Jun 2026)
52-week range (intraday)	\$190.12 - \$370.86	Beta (5-year)	1.40
From the 52-week closing low (\$193.41, 25 Jun)	+50.7%	Average daily volume, 30 days	4.8mm shares
From the 52-week closing high (\$367.46, 18 Sep)	-20.7%	Average daily volume, 90 days	5.9mm shares

Trend read

The 50-day (\$240.18) is still BELOW the 200-day (\$269.18) — the death cross from earlier in 2026 has not reversed — but price now sits above both, 21% above the 50-day and 8% above the 200-day, with RSI at 60.8. That configuration is a young trend reversal, not a mature uptrend, and it is stretched in the short term. The levels that matter on a pullback are the 200-day near \$269 and the June-July consolidation shelf around \$245-250; the September 2025 breakdown zone near \$340-355 is the first meaningful overhead supply. With 30-day realised volatility at 51% and Q3 FY2026 earnings on 10 September 2026, position sizing matters more here than level-picking.

Positioning

Short interest has roughly doubled during 2026, from 12.37 million shares (2.96% of float) in January to 17.97 million (4.54%) at the end of August — shorts pressed INTO a 50% rally rather than covering it. At 4.5% of float and 3-4 days to cover on recent volume this is not squeeze territory, but it does mean a clean Q3 print has a mechanical bid behind it. The options data quoted above is a July 2026 observation from a secondary source, is not same-day, and was not independently verified — it is included for completeness and flagged rather than relied upon.

Relative performance — Adobe is not an idiosyncratic casualty

Instrument	YTD 2026	Trailing 1 year	Instrument	YTD 2026	Trailing 1 year
Adobe (ADBE)	-16.7%	-18.2%	Intuit (INTU)	-45.9%	-46.0%
S&P 500	+12.7%	+19.0%	Oracle (ORCL)	-22.6%	-36.0%
Nasdaq-100	+16.6%	+24.9%	ServiceNow (NOW)	-5.5%	-18.5%
Tech-Software ETF (IGV)	+3.6%	+1.9%	Autodesk (ADSK)	-11.9%	-8.8%
Microsoft (MSFT)	+6.2%	+1.3%	Salesforce (CRM)	-3.4%	+2.3%

Adobe has badly underperformed the index, but the whole application-software complex has de-rated: Intuit is down 46% and Oracle 36% over twelve months while the Nasdaq-100 rose 25%. The market is not selling Adobe specifically — it is selling seat-based software subscriptions in an AI world. That cuts both ways for the thesis. The re-rating case does not depend on Adobe alone being right, which is helpful; but it also means a single company-specific beat may not be enough to close the gap on its own.

6. CATALYST CALENDAR

What actually moved the stock

Date	Event	1-day	Volume	What the market reacted to
10 Dec 2025	Q4 & FY2025 results; initial FY26 guidance	-0.3%	6.8mm	FY25 revenue \$23.77bn (+11%), record \$10.0bn operating cash flow. Muted; +2.1% the next session.
12 Mar 2026	Q1 FY26 results AND CEO transition	-1.4%	10.9mm	Record Q1 on every metric — and Shantanu Narayen's decision to step down after 18 years once a successor is named.
13 Mar 2026	First full session after	-7.6%	17.4mm	The largest single-day fall of the period. A beat on every line could not offset an open-ended leadership vacuum.
28 Apr 2026	Semrush acquisition closes	n/a	-	\$1.87bn cash (\$12.00/share), adding ~\$480mm of ARR in SEO and generative-engine optimisation.
11 Jun 2026	Q2 FY26: raise on revenue & non-GAAP EPS, CUT to H2 ARR growth, CFO exit	-6.2%	17.8mm	Record revenue, AI-first ARR tripled past \$500mm, FY26 targets raised — and H2 ARR expectations lowered, alongside CFO Dan Durn's departure.
12 Jun 2026	Second session after Q2	-6.8%	25.0mm	Heaviest volume of the period. Two sessions took the stock down ~13%; it bottomed at \$193.41 on 25 June.
25 Jun - 28 Aug	The rebound	+50.7%	-	A 50% recovery with no new company disclosure — a pure re-rating as the market re-read the same Q2 numbers.

Forward catalysts

Date	Event	Weight	Why it matters
10 Sep 2026	Q3 FY2026 results	HIGHEST	The first read on whether the freemium pivot defers ARR or destroys it. Guided to \$6.67-6.72bn revenue and \$6.05-6.10 non-GAAP EPS. Watch total ending ARR against the ~\$27.4bn implied by the FY26 10.2% target — and, above everything, Firefly ARR against creative freemium MAU, because that ratio IS the conversion rate.
Not announced	Next CEO appointed	HIGH	The search has run since 12 Mar 2026; management said the goal is a successor in place to shape FY2027 planning, implying an announcement by roughly December 2026. An external hire raises reset risk; an internal appointment (David Wadhvani is the obvious candidate) reads as continuity.
Not announced	Permanent CFO appointed	MEDIUM	Steve Day has been interim since 15 Jun 2026. Two open C-suite seats at once is the clearest single overhang on the name.
Dec 2026 (typical)	Q4 FY26 results and initial FY2027 guidance	HIGHEST	The real test. Because subscription revenue is recognised ratably, an H2 FY26 ARR air-pocket lands in FY2027 REVENUE. Initial FY27 guidance is where the freemium trade is validated or repriced.
Ongoing	AI copyright litigation	MEDIUM	The December 2025 class action and the derivative suits do not threaten Adobe financially. They threaten the 'commercially safe, indemnified Firefly' claim that wins enterprise business against free alternatives.
Ongoing	Canva IPO; OpenAI / Google releases	HIGH	A Canva listing would put a public market price on the disruption thesis for the first time, with roughly \$4bn of ARR built from the low end upward — and would be read straight across into Adobe's multiple.
Ongoing	Buyback execution	MEDIUM	~\$27bn remained authorised at Q2 FY26 — about 23% of the market capitalisation. At the ~\$9-13bn/yr pace modelled here the buyback alone adds 6-7% to EPS annually, and it is the most reliable component of the forecast.

7. KEY RISKS AND THESIS FALSIFIERS

Named risks

- **The freemium trade fails on conversion, not on traffic.** Adobe is giving up roughly \$441mm of annualised recurring revenue to widen a funnel it converts at roughly 2.8%. If MAU triples while conversion falls, the ARR is gone and the users are worth nothing. Note that the ARPU input driving that conversion estimate is a model assumption, not a disclosure — Adobe publishes MAU and Firefly ARR but no conversion rate and no freemium ARPU at all.
- **Two open C-suite seats simultaneously.** Shantanu Narayen announced in March 2026 that he will step down as CEO after 18 years once a successor is appointed; CFO Dan Durn left on 15 June 2026 and Steve Day is interim. A company executing the most consequential strategic pivot in its history is doing so without a permanent CEO or CFO, and the incoming CEO may well reset the strategy this report is valuing.
- **Generative-AI inference cost is a variable COGS a seat licence never had.** Q2 FY2026 subscription cost of revenue grew 16.0% year over year against 13.7% subscription revenue growth. Adobe is now pushing free generation to 90 million creative freemium users. Every point of gross margin is worth roughly \$265mm of operating income at FY2026E revenue.
- **Canva at roughly \$4bn of ARR, heading toward an IPO.** This is not a speculative threat: it is a privately-held competitor with recurring revenue equal to roughly 15% of Adobe's total, built from the low end upward, that bought Affinity to move into professional design. A listing would put a public price on the disruption thesis.
- **The AI copyright class action attacks the specific claim Adobe monetises.** The December 2025 complaint alleges SlimLM was trained on books from pirate shadow libraries. Adobe's enterprise pitch is that Firefly is commercially safe and indemnified where free alternatives are not. If that claim is undermined, the enterprise premium goes with it — irrespective of damages.
- **Deferred revenue is a fading cash-flow tailwind.** Customers currently pay Adobe roughly a year in advance; deferred revenue was \$7.15bn at 29 May 2026, about 29% of sales. Consumption and credit-pack pricing is recognised on use rather than billed ahead, so a successful shift to AI monetisation structurally shrinks a working-capital benefit Adobe has enjoyed for a decade.
- **Regulatory friction is now permanent.** The \$150mm ROSCA settlement approved in March 2026 imposes injunctive terms — clear early-termination-fee disclosure, trial-conversion reminders, easy cancellation — that structurally remove friction which supported Creative Cloud retention.
- **Model risk in this report specifically.** The buyback contributes roughly a third of modelled EPS growth and is executed at an assumed 8% annual price appreciation; the equity risk premium of 4.5% was not independently verified; and terminal value is 72% of enterprise value in the Base DCF.

Thesis falsifiers — what would make this wrong

A risk list says what could go badly. The table below commits in advance to the observable thresholds that would break the constructive case, each tied to where it shows up and when.

Falsifier — if this happens, the constructive case is wrong	Threshold	Where it appears	When
Firefly ARR grows more slowly than creative freemium MAU. This is the single cleanest test in the whole thesis: if the funnel widens faster than the revenue it produces, conversion is FALLING and Adobe is losing ARR, not deferring it.	Firefly ARR growth < MAU growth for two consecutive quarters	Prepared remarks / earnings call	10 Sep 2026, then Dec 2026

Falsifier — if this happens, the constructive case is wrong	Threshold	Where it appears	When
Total ending ARR misses the FY2026 target. The 10.2% target implies ~\$27.4bn at Q3 and ~\$27.8bn at year end. Management has already reset this once.	Q3 exit ARR below ~\$27.4bn	Q3 / Q4 earnings release	10 Sep 2026; Dec 2026
Initial FY2027 revenue guidance below ~\$28.0bn. Consensus and this model sit near \$28.9bn. A guide starting with 27 would confirm the H2 FY26 ARR air-pocket was structural.	FY27 revenue guide < \$28.0bn (i.e. <5.5% growth)	Q4 FY26 release	December 2026
Gross margin falls below 87.5%. The model fades to 87.9% by FY2030E. Breaking that early means inference cost is scaling with free usage faster than paid conversion.	Any reported quarter below 87.5%	Quarterly income statement	Any quarter
GAAP operating margin stays below 34%. Q2 FY26's 33.8% was explained as investment. Two more quarters there and it is the new structural level, not a phase.	Two further consecutive quarters below 34%	Quarterly income statement	Sep and Dec 2026
Remaining performance obligations growth drops below high single digits. RPO grew 13% in Q2 FY26 — currently the strongest counter-evidence to the bear case. Losing it removes the bulls' best argument.	RPO growth below ~8% YoY	Quarterly earnings release	10 Sep 2026
An external CEO is appointed who resets strategy or guidance. This report values the strategy as management has articulated it. A new leader is entitled to change it.	Any strategy reset or withdrawn multi-year targets	8-K / investor communication	Likely by Dec 2026
Buyback pace falls materially below ~\$9bn/yr. Roughly a third of modelled EPS growth is the shrinking share count. A slowdown without an offsetting use of cash breaks the per-share arithmetic.	Under ~\$2.0bn in a quarter without stated cause	Quarterly cash flow statement	Any quarter

The converse also holds. If Q3 FY2026 shows Firefly ARR growing faster than creative freemium MAU, total ending ARR on track for the 10.2% target, and gross margin holding near 89%, then the June selloff priced a structural break that did not occur — and a stock at 11.9x guided non-GAAP earnings implying 1.1% perpetual growth would need to re-rate substantially. That is the asymmetry, and it resolves on a known date.

8. SOURCES & LIMITATIONS

Sources

- **SEC EDGAR (CIK 0000796343)** — FY2025 Form 10-K (period 2025-11-28, filed 2026-01-15); Forms 10-Q for periods 2026-05-29, 2026-02-27 and 2025-08-29; Forms 8-K Ex-99.1 dated 11 Jun 2026, 12 Mar 2026 (with Ex-99.2/99.3 covering the CEO transition) and 10 Dec 2025. Financial-statement line items were pulled programmatically from EDGAR's XBRL companyconcept API and de-duplicated to the newest filing per period end, so restated and original figures are never mixed.
- **Adobe Investor Relations** — Q2 FY2026 prepared remarks and slides, 11 June 2026. This is the sole source for every MAU, freemium, Firefly ARR and AI-first ARR figure in this report. These are management-stated operating metrics, not audited financial-statement line items.
- **Yahoo Finance** — full daily close series to 28 August 2026 (last quote 20:00:01 UTC), used to compute every moving average, RSI, realised-volatility and relative-performance figure here.
- **stockanalysis.com** — market cap, enterprise value, trailing and forward P/E, EV/Sales, EV/EBITDA, shares outstanding, short interest, float and beta for Adobe and every peer, all read 28 August 2026.
- **S&P Global via stockanalysis.com** — analyst consensus as of 19 August 2026.
- **FRED** — series DGS10 (10-year Treasury, 4.67% on 27 Aug 2026) and DGS3MO (3.84%).
- **Secondary reporting** — Bloomberg, DOJ Office of Public Affairs, TechCrunch, Law360, VentureBeat and trade press for the ROSCA settlement, AI-copyright litigation, EU AI Act timing and competitive context.

Data-quality flags — read before relying on anything specific

- **CONFLICT — short interest.** 17.97mm shares / 4.54% of float (28 Aug 2026) versus 12.37mm / 2.96% (January 2026). Both are plausible as a time series, but they are different vintages and settlement dates lag by about two weeks. Do not treat 4.54% as live.
- **CONFLICT — moving averages.** Chart sites gave materially different figures during this research: one reported a 50-day of \$242.4 and a 200-day of \$274.9, another an SMA50 of \$230.37. The values used here were recomputed from the raw daily close series and agree exactly with stockanalysis.com's same-day \$240.18 and \$269.18.
- **CONFLICT — peer multiples in secondary commentary.** Opinion pieces read during this research asserted Adobe trades at '10x forward earnings' against Salesforce at '23x' and Autodesk at '19x'. The same-day figures are 11.15x, 17.28x and 20.04x. The qualitative point survives; the specific numbers did not.
- **CONFLICT — the FTC/DOJ settlement size** was reported as both '\$150 million' and '\$75 million'. Both describe the same settlement: \$150mm total, of which \$75mm is free services to affected customers and \$75mm is paid to the DOJ.
- **STALE — options data.** The ~49 implied volatility and 0.54 put/call ratio are July 2026 observations from a secondary source, are not same-day, and were not independently verified.
- **DERIVED, NOT REPORTED — Q4 FY2025.** Adobe does not tag a discrete Q4 in XBRL. Q4 FY25 figures are the FY2025 10-K totals less the three 10-Qs. The derivation validates: derived revenue of \$6,194mm ties to the \$6.19bn reported and derived operating income of \$2,261mm ties to the reported \$2.26bn.
- **DERIVED, NOT REPORTED — the central ARR claim.** The implied H2 FY26 net-new ARR of \$670mm is inferred from the company's own FY26 ending-ARR growth target against its reported Q2 exit ARR; the Q2 FY25 comparison ARR of \$24,089mm is backed out of the disclosed Q2 FY26 exit ARR and its disclosed +12.5% growth. Adobe published neither figure. This is the report's most important quantified claim and it is an inference, not a disclosure.

- **NOT DISCLOSED — freemium conversion and ARPU.** Adobe publishes MAU and Firefly ARR but no conversion rate and no freemium ARPU. The \$120/yr ARPU is a model assumption, and every conclusion drawn from the funnel analysis inherits that uncertainty.
- **WEAKEST INPUT — the equity risk premium.** The 4.5% ERP driving the WACC was NOT verified against Damodaran's current published update during this build. Combined with beta, it drives almost the entire discount rate, because debt is only ~5% of capital. A 1.20 beta instead of 1.40 lifts the DCF roughly 15%.
- **UNVERIFIED — market sizing.** Third-party creative-software market estimates ranged from \$16.8bn for 2026 to several times that depending on scope, and one source put Adobe's share at ~58% — figures that cannot both be true given Adobe's own \$23.77bn of revenue. They are used qualitatively only; no valuation conclusion here rests on any of them.
- **NOT REFLECTED — Q3 FY2026.** Adobe reports on 10 September 2026. Nothing in this report or the accompanying model incorporates that quarter.

Reconciliation between this report and the Excel model

Every figure in this document that also appears in ADBE_Financial_Model.xlsx was read programmatically out of the recalculated workbook when this PDF was generated — share price, share count, market capitalisation, enterprise value, net debt, all FY2026E income-statement outputs, every scenario target, the blended and probability-weighted targets, all upside/downside figures, the reverse-DCF implied growth rate, the peer medians and the technical levels. They cannot drift apart. The workbook itself passes a formula-error check with zero errors, ties its balance sheet to exactly zero in all six modelled periods, reproduces Adobe's reported FY2024 and FY2025 revenue, operating income, net income, diluted EPS, weighted-average share count and operating cash flow, and lands FY2026E GAAP EPS inside the company's own guided range.

This is not investment advice. This report and the accompanying model are educational and informational documents produced with AI research assistance from public filings and secondary sources at a point in time. They are not a licensed analyst's opinion, are not built on a live market-data terminal, and should not be the sole basis for any investment decision. Adobe's actual results depend on the outcome of a freemium strategy with no disclosed conversion economics, an unresolved CEO and CFO succession, active AI-copyright litigation targeting its core enterprise differentiator, and competition from firms giving away adjacent capability for free. Verify every load-bearing figure against primary sources and consider consulting a licensed financial adviser before acting.